The Geography of the Local Service Multiplier

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The draft will be updated with Census estimates within the next week.

Abstract. State and local governments spend approximately $20 billion a year on firm-specific subsidies, rationalized by promised jobs and the corresponding local spending they generate. I study whether the spillovers that justify these awards materialize and whether the jurisdiction that pays for them captures them. I build a new matched sample of subsidized firms that separates the local and state cost of each award. I use linked employer-employee data to determine how large tradable firms source their workers. Using the observed residential location of the workers, I find XXX. I build a spatial equilibrium model for 55 promised-job which shows that incumbent crowd-out is small, so entrant jobs are generally net additions, and that 100 entrant jobs support a median of 18 service jobs and raise annual resident welfare by a median of $2.1 million. Because workers commute and shop across county lines, the median host county keeps 52 percent of the service gain. The place matters more than the firm, as the same entrant supports between 8 and 26 service jobs per 100 entrant jobs across local economies. Spread over ten years, the length of the average award, the full award costs a median of $2,093 per net job each year.

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